

3 & 4 GEO. 6. *South-Eastern Gas* **Ch. xxxix.**
Corporation Limited (Associated Companies)
Act, 1940.



CHAPTER xxxix.

An Act to confer further powers upon the Ascot District Gas and Electricity Company and other companies authorised to supply gas and for other purposes. [17th July 1940.]

WHEREAS the South-Eastern Gas Corporation Limited (hereinafter referred to as "the Corporation") were registered under the Companies Act 1929 in the year one thousand nine hundred and thirty-two as a company limited by shares for the purposes set forth in their memorandum of association which include—

19 & 20
Geo. 5.
c. 23.

the acquisition and holding of interests in any undertaking or company whether a public utility general or other undertaking of any kind or description whatsoever and whether operating under statutory or other powers exercising or carrying on or formed to exercise or carry on all or any of the businesses of manufacturing or supplying gas electricity or water or in any other public utility company of whatsoever description;

the application for taking over or otherwise obtaining of statutory or other orders necessary or desirable for the fulfilment of the objects of the company;

the taking of steps in Parliament or with the authorities national local municipal or otherwise of any place in which the company may

have interests and the carrying on of negotiations or operations for the purpose of directly or indirectly carrying out the objects of the company; and

the doing of all such other things as may be considered to be incidental or conducive to the attainment of the objects of the company:

And whereas the companies referred to in this Act (of whom some were incorporated by Act of Parliament and the remainder were registered under the Companies Act 1929 or one of the Acts repealed by that Act or by a former Act) carry on under statutory authority undertakings for the supply of gas within limits of supply defined in the Acts or Orders relating to the said companies respectively:

And whereas by reason of the extent of the holding of the Corporation of shares or stock in the capital of the said companies the affairs of those companies are in effect under the control and management of the Corporation:

And whereas it is expedient in the interests of the consumers of gas supplied by the said companies respectively and of the efficient conduct of the undertakings of the said companies that the powers and provisions contained in this Act should be conferred upon and enacted with reference to the said companies respectively:

And whereas the objects of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows, (that is to say):—

PART I.

PRELIMINARY.

Short title.

1. This Act may be cited as the South-Eastern Gas Corporation Limited (Associated Companies) Act 1940.

3 & 4 GEO. 6. *South-Eastern Gas Corporation Limited (Associated Companies) Act, 1940.* Ch. xxxix.

2. This Act is divided into Parts as follows:—

PART I.

—cont.

Part I.—Preliminary.

Part II.—Additional capital.

Act
divided
into Parts.

Part III.—Additional borrowing powers
(Companies incorporated by
special Act).

Part IV.—Additional borrowing powers
(Companies not incorporated by
special Act).

Part V.—Annual meetings and half-yearly
dividends.

Part VI.—Renewal fund.

Part VII.—Administrative and other pro-
visions.

Part VIII.—General provisions.

3. In this Act the several words and expressions to which meanings are assigned by the Acts wholly or partly incorporated with any Part of this Act have the same respective meanings unless there be something in the subject or context repugnant to such construction.

Interpre-
tation.

And in this Act—

“The Corporation” means the South-Eastern Gas Corporation Limited;

“The Ascot Company” means the Ascot District Gas and Electricity Company;

“The Broadstairs Company” means the Broadstairs Gas Company;

“The Chertsey Company” means the Chertsey Gas Consumers’ Company Limited;

“The Deal Company” means the Deal and Walmer Gas Company;

“The Dover Company” means the Dover Gas Company;

“The East Kent Company” means the East Kent Gas Company Limited;

“The Folkestone Company” means the Folkestone Gas and Coke Company;

“The Gravesend Company” means the Gravesend and Milton Gas Light Company;

Ch. xxxix. *South-Eastern Gas Corporation Limited (Associated Companies) Act, 1940.* 3 & 4 GEO. 6.

PART I.
—cont.

- “The Hastings Company” means the Hastings and St. Leonards Gas Company;
- “The Herne Bay Company” means the Herne Bay Gas Company Limited;
- “The Hornsey Company” means the Hornsey Gas Company;
- “The Lea Bridge Company” means the Lea Bridge District Gas Company;
- “The Lewes Company” means the Lewes Gas Company;
- “The Maidstone Company” means the Maidstone Gas Company;
- “The Mid-Kent Company” means the Mid-Kent Gas Light and Coke Company;
- “The North Middlesex Company” means the North Middlesex Gas Company;
- “The Rochester Company” means the Rochester Chatham and Gillingham Gas Company;
- “The Sheppy Company” means the Sheppy Gas Company;
- “The Sittingbourne Company” means the Sittingbourne District Gas Company;
- “The Slough Company” means the Slough Gas and Coke Company;
- “The Tenterden Company” means the Tenterden and District Gas Company Limited;
- “The Tunbridge Wells Company” means the Tunbridge Wells Gas Company;
- “The Uxbridge Company” means the Uxbridge Maidenhead Wycombe and District Gas Company;
- “The Windsor Company” means the Windsor Royal Gaslight Company;
- “The undertaking” means (in the case of a company incorporated by a special Act) the undertaking as authorised for the time being of the company in relation to whom the expression is used and (in the case of a company not incorporated by a special Act) the gas undertaking as authorised for the

3 & 4 GEO. 6. *South-Eastern Gas Corporation Limited (Associated Companies)* Ch. xxxix.
Act, 1940.

time being of the company in relation to whom the expression is used;

PART I.
—cont.

“The limits of supply” means the limits within which the company in relation to whom the expression is used are for the time being authorised to supply gas;

“The directors” means the directors for the time being of the company in relation to whom the expression is used.

PART II.

ADDITIONAL CAPITAL.

4. The provisions of this Part of this Act shall except as otherwise expressly provided apply to the following companies each of whom is in this Part of this Act referred to as “the company” (namely):—

Companies to whom Part II of Act applies.

The Lewes Company; and
The Slough Company.

5. The following enactments so far as the same are applicable to the purposes of this Part of this Act and are not inconsistent with the provisions of this Part of this Act and of the existing Acts and Orders of or relating to the company are hereby incorporated with this Part of this Act (namely):—

Incorporation of enactments with Part II of Act.

(1) The Companies Clauses Consolidation Act 1845 except the provisions thereof with respect to the conversion of the borrowed money into capital:

8 & 9
Vict. c. 16.

(2) Part I (relating to cancellation and surrender of shares) and Part II (relating to additional capital) of the Companies Clauses Act 1863 as amended by subsequent Acts.

26 & 27
Vict. c. 118.

6. The company may from time to time raise additional capital to such amount as shall be sufficient to produce after taking into account the premiums or discounts (if any) which may be obtained or allowed respectively on the issue thereof an amount not exceeding in the whole in the case of the Lewes Company ten thousand pounds and in the case of the Slough

Additional capital.

PART II.
—cont.

Company one hundred and fifteen thousand pounds by the creation and issue of new ordinary shares or stock or new preference shares or stock or wholly or partly by any one or more of those modes respectively.

Limit of
dividend on
additional
preference
capital.

7. For the purposes of section 13 of the Companies Clauses Act 1863 the prescribed rate of dividend on any preference shares or stock issued by the company under the powers of this Act shall be the rate of six per centum per annum.

Limit of
dividend on
additional
ordinary
capital.
10 & 11
Vict. c. 15.

8.—(1) For the purposes of section 30 of the Gasworks Clauses Act 1847 the prescribed rate of dividend on any ordinary shares or stock issued by the Lewes Company under the powers of this Act shall be the rate of seven per centum per annum.

3 & 4
Geo. 5.
c. xviii.

(2) Except as expressly provided by section 35 (Repeal of section 12 of Order of 1898 Dividends dependent on price charged) of the Slough Gas Act 1913 as amended by the Slough Gas (Charges) Order 1921 the Slough Company shall not declare or pay any larger dividend on any ordinary shares or stock issued by them under the powers of this Act than at the rate of five per centum per annum which rate shall be the standard rate of dividend for the purposes of the said section 35.

New shares
or stock to
be subject
to same
incidents
as other
shares or
stock.

9. Except as by this Act otherwise provided the capital in new shares or stock created by the company under this Act and the new shares or stock and the holders thereof respectively shall be subject and entitled to the same powers provisions liabilities rights privileges and incidents whatsoever in all respects as if that capital were part of the now existing capital of the company of the same class or description and the new shares or stock were shares or stock in that capital.

Sale by Lewes
Company of
shares or
stock by
auction or
tender.
24 & 25
Geo. 5. c. 28.

10.—(1) Save as otherwise expressly provided by this Act or by the Gas Undertakings Act 1934 all ordinary and preference shares or stock issued by the Lewes Company after the date of the passing of this Act shall be issued in accordance with the provisions of this section.

(2) All shares or stock so to be issued shall be offered for sale by public auction or tender in such manner at such times and subject to such conditions of sale as the directors shall from time to time determine Provided that—

(a) notice of the intended sale shall be given in writing to the town clerk of each borough and the clerk of the council of each urban or rural district wholly or partly included, within the limits of supply and to the secretary of the London Stock Exchange at least seven days before the day of auction or the last day for the reception of tenders as the case may be and shall also be duly advertised once in each of two consecutive weeks in one or more local newspapers circulating within the limits of supply;

(b) a reserve price shall be fixed and notice thereof shall be sent by the Lewes Company in a sealed letter to be received by the Board of Trade not less than twenty-four hours before but not to be opened until after the day of auction or last day for the reception of tenders as the case may be;

(c) in the case of a sale by auction no lot offered for sale shall comprise shares or stock of greater nominal value than one hundred pounds and a bid (other than the first bid) shall not be recognized unless it is in advance of the last preceding bid;

(d) in the case of a sale by tender no preference shall be given to one of two or more persons tendering the same sum except that the offer by tender of any holder of ordinary or preference shares or stock of the Lewes Company may be accepted in preference to the offer of the same sum by any person not such a holder as aforesaid and preference may in like manner be given to the offer of any employee of or of any consumer of gas supplied by the Lewes Company;

PART II.
—cont.

(e) it shall be one of the conditions of sale that the total sum payable by the purchaser shall be paid to the Lewes Company within three months after the date of the auction or of the acceptance of the tender as the case may be.

(3) Any shares or stock which have been so offered for sale and are not sold may be disposed of by the directors in such manner as they think best for the purpose of obtaining the highest price obtainable therefor.

(4) As soon as possible after the conclusion of the sale or sales the Lewes Company shall send a report thereof to the Board of Trade stating the total amount of each class of shares or stock sold the total amount (if any) obtained as premium and the highest and lowest price obtained for each class of shares or stock.

Special
provision
for benefit
of small
investors.

11. Notwithstanding anything in any Act or Order relating to the company the directors may with the approval of a resolution of a general meeting of the company reserve a proportion not exceeding one-fourth of each future issue of ordinary or preference shares or stock of the company for exclusive offer in the first instance to consumers of gas supplied by the company and to the employees of the company at such price and upon such terms and conditions as to payment therefor and the payment of dividends thereon until the same become fully paid as the directors may prescribe:

Provided that every allotment of shares or stock under this section shall be at a price not less than the reserve price at which the like class of shares or stock of the same issue shall be offered under the provisions of subsection (2) of the section of this Act of which the marginal note is "Sale by Lewes Company of shares or stock by auction or tender" or under subsection (2) of section 6 (Stock to be sold by auction or tender) of the Slough Gas Order 1925 (as the case may be).

Sale of
share
capital at
a fixed
price to

12. When any ordinary or preference shares or stock are to be issued by the company and whether any of the shares or stock of the company are at a premium or not the company before or in lieu of offering for sale

by public auction or tender the shares or stock so to be issued may with the previous approval of the Board of Trade and subject to such conditions as the Board may think fit to impose offer such shares or stock to employees of and to consumers of gas supplied by the company at not less than the average price (after due allowance has been made for any enhancement in price by reason of any anticipated dividend) at which according to the books of the company sales of shares or stock of the same class were effected within the period of six months immediately preceding the date of application by the company for such approval as aforesaid.

PART II.
—cont.
employees
and con-
sumers of
gas
supplied
by
company.

PART III.

ADDITIONAL BORROWING POWERS (COMPANIES INCORPORATED BY SPECIAL ACT).

13. The provisions of this Part of this Act shall apply to the following companies each of whom is in this Part of this Act referred to as "the company" (namely):—

Companies
to whom
Part III
of Act
applies.

The Deal Company;
The Gravesend Company;
The Lewes Company;
The Sheppy Company;
The Sittingbourne Company;
The Slough Company; and
The Windsor Company.

14. The following enactments so far as the same are applicable to the purposes of this Part of this Act and are not inconsistent with the provisions of this Part of this Act or of the existing Acts and Orders of or relating to the company are hereby incorporated with this Part of this Act (namely):—

Incorporation of
Acts with
Part III of
Act.

- (1) The Companies Clauses Consolidation Act 1845 (except the provisions thereof with respect to the conversion of the borrowed money into capital):

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

PART III.
—cont.

(2) Part III (relating to debenture stock) of the Companies Clauses Act 1863 as amended by subsequent Acts:

Provided that in the application to the company of the said Part III section 22 of the said Companies Clauses Act 1863 shall be read and have effect as if the words "and to the same amount as" were omitted therefrom.

Increase of
borrowing
powers.

15.—(1) The company may without being required to obtain the certificate of a justice under section 40 of the Companies Clauses Consolidation Act 1845 from time to time borrow on mortgage of the undertaking in respect of their ordinary or preference shares or stock issued at the date of the passing of this Act any sum or sums not exceeding in the whole (when added to the moneys which they have before the said date borrowed on mortgage of the undertaking or raised by the creation and issue of debenture stock in respect of such issued ordinary or preference shares or stock) the amount which they could so have borrowed if they had before the passing of this Act been authorised so to borrow any sum or sums not exceeding in the whole seventy-five per centum of the amount (including premiums and allowing for discounts) which at the date of borrowing had been raised by the creation and issue of ordinary or preference shares or stock.

(2) The company may also subject to the provisions of this Act borrow on mortgage of the undertaking in respect of any ordinary or preference shares or stock issued by them after the passing of this Act any sum or sums not exceeding in the whole seventy-five per centum of the amount (including premiums and allowing for discounts) which at the time of borrowing has been raised by the issue of such ordinary or preference shares or stock but no sum shall be borrowed under the powers of this subsection until the company have proved to a justice before he gives his certificate under section 40 of the Companies Clauses Consolidation Act 1845 that the whole of the amounts payable in respect of such ordinary or preference shares or stock at the time issued together with the

3 & 4 GEO. 6. *South-Eastern Gas Corporation Limited (Associated Companies) Act, 1940.* Ch. xxxix.

premiums (if any) realised thereon or after allowing for discounts (if any) given on the issue thereof has been fully paid up. PART III.
—cont.

(3) The powers conferred by this section shall be in substitution for all existing powers of the company of borrowing money on mortgage of the undertaking but nothing in this section shall prejudice or affect the right of the company to apply to the Board of Trade for an order under section 1 (Power of Board of Trade to make orders increasing authorised amount of share capital or of loans) of the Gas Undertakings Act 1929.

19 & 20
Geo. 5. c. 24.

16. The company may create and issue debenture stock subject to the provisions of Part III of the Companies Clauses Act 1863 as modified in its application to the company but notwithstanding anything therein contained the interest of all debenture stock and of all mortgages at any time (whether before or after the passing of this Act) created and issued or granted by the company under any previous Act or Order or under this Act or any subsequent Act or Order shall subject to the provisions of any subsequent Act or Order rank *pari passu* without respect to the dates of the securities or of the Acts of Parliament Orders or resolutions by which the stock and mortgages were authorised and shall have priority over all principal moneys secured by such mortgages.

Debenture
stock.

17. All money to be raised by the company on mortgage or by the creation and issue of debenture stock under the provisions of this Act shall have priority against the company and the property from time to time of the company over all other claims on account of any debts incurred or engagements entered into by them after the passing of this Act. Provided that this priority shall not affect any claim against the company or their property in respect of—

Priority of
mortgages
and
debenture
stock over
other
debts.

(a) any rentcharge granted or to be granted by them in pursuance of the Lands Clauses Acts; or

(b) any rent or sum reserved by or payable under any lease granted or made to or vested in the company which is entitled to rank in priority to or *pari passu* with the interest on their mortgages or debenture stock; or

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

PART III.
—cont.

(c) land taken used or occupied by the company for the purposes of the undertaking and works of the company or injuriously affected by the execution of such works or by the exercise of any powers conferred upon the company.

Priority of principal moneys secured by existing mortgages.

18. The principal moneys secured by all mortgages granted by the company in pursuance of the powers of any Act of Parliament or Order before the passing of this Act and subsisting at the passing hereof shall during the continuance of such mortgages have priority over the principal moneys secured by any mortgages granted by virtue of this Act.

Appointment of receiver.

19. The mortgagees of the undertaking may enforce payment of arrears of interest or principal, or principal and interest due on their mortgages by the appointment of a receiver. In order to authorise the appointment of a receiver in respect of arrears of principal the amount owing to the mortgagees by whom the application for a receiver is made shall be not less in the whole than one-tenth of the amount for the time being borrowed by the company and outstanding or the sum of ten thousand pounds (whichever shall be the less).

Limit of interest on borrowed money.

20. The company shall not debit the revenue of the undertaking with interest on any moneys other than interest at a rate not exceeding five per centum per annum (or such higher rate as the Board of Trade may approve) in respect of any borrowed moneys applied or required for the purposes of the undertaking.

PART IV.

ADDITIONAL BORROWING POWERS (COMPANIES NOT INCORPORATED BY SPECIAL ACT).

Companies to whom Part IV of Act applies.

21. The provisions of this Part of this Act shall apply to the following companies each of whom is in this Part of this Act referred to as "the company" (namely):—

The Chertsey Company;
The Herne Bay Company; and
The Tenterden Company.

22. The amount of all money borrowed by the company and charged on the undertaking whether exclusively or otherwise shall not at any time exceed in the whole seventy-five per centum of the aggregate amount of the paid-up share capital of the company for the purposes of the undertaking and of any premiums paid in respect thereof and no moneys other than moneys borrowed for the purposes of the undertaking shall be charged on the undertaking whether exclusively or otherwise.

PART IV.
—cont.
Limit of
borrowing
power.

23. The company shall not debit the revenue of the undertaking with interest on any moneys other than interest at a rate not exceeding five per centum per annum (or such higher rate as the Board of Trade may approve) in respect of any borrowed moneys applied or required for the purposes of the undertaking.

Limit of
interest on
borrowed
money.

PART V.

ANNUAL MEETINGS AND HALF-YEARLY DIVIDENDS.

24. The provisions of this Part of this Act shall except where otherwise expressly provided apply to the following companies each of whom is in this Part of this Act referred to as "the company" (namely):—
The Ascot Company; and
The Lewes Company.

Companies
to whom
Part V of
Act
applies.

25. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 or in any Act or Order relating to the company the company may by a resolution of a general meeting at any time determine that the future ordinary meetings of the company shall be held once only in each year in such month as the directors may from time to time determine and the company may from time to time in like manner alter or rescind any such resolution.

Date of
ordinary
meetings.

26.—(1) If and so long as the ordinary meetings of the company shall be held once only in each year (any such meeting being in this section referred to as "the annual general meeting")—

Half-
yearly
dividends
and annual
accounts.

(a) the directors may on or after the last day of the sixth month after the commencement of

PART V.
—cont.

any financial year of the company in any year without the sanction or direction of a general meeting declare and pay out of the funds of the company applicable to dividend a dividend in respect of the half-year ended on the said day on any class of share capital of the company at such rate as the directors may think fit:

Provided that the rate of any dividend so paid shall not as the case may be exceed as respects any ordinary shares or stock—

(i) in the case of the Lewes Company one-half of the maximum rate of dividend payable in respect of such shares or stock; and

(ii) in the case of the Ascot Company the rate of dividend in respect of such half-year ascertained pursuant to section 32 (Limitation of dividend on ordinary stock) and section 34 (Division of profits) of the Ascot District Gas and Electricity Act 1935;

25 & 26
Geo. 5.
c. xcvi.

or as respects any preference shares or stock one-half of the annual rate of dividend assigned to such shares or stock;

(b) section 116 of the Companies Clauses Consolidation Act 1845 shall in relation to the company be read and have effect as if the words “preceding year” were substituted therein for the words “preceding half-year.”

(2) Subject to the provisions of this Act when in respect of any such half-year as aforesaid the directors exercise the powers conferred by subsection (1) of this section the only dividend (if any) to be declared at the next following annual general meeting on any class of share capital of the company in relation to which such powers were exercised shall be a dividend in respect of the half-year ending next before the date of such annual general meeting at such rate as the company may approve not exceeding the rate of dividend requisite to enable the company to pay in the case of any ordinary shares or stock the balance of the dividend which can lawfully be paid in respect of the

3 & 4 GEO. 6. *South-Eastern Gas Corporation Limited (Associated Companies) Act, 1940.* **Ch. xxxix.**

financial year in which such half-year occurs pursuant to— PART V.
—cont.

(a) in the case of the Lewes Company section 29 (Profits of the company limited) of the Lewes Gas Act 1878 and subsection (1) of the section of this Act of which the marginal note is "Limit of dividend on additional ordinary capital"; and 41 & 42
Vict.
c. xlviii.

(b) in the case of the Ascot Company the said sections 32 and 34 of the Ascot District Gas and Electricity Act 1935;

and in the case of any preference shares or stock the balance of the dividend payable in respect of the financial year in which such half-year occurs at the preferential annual rate of dividend assigned thereto and section 120 of the Companies Clauses Consolidation Act 1845 shall in its application to the company be read and have effect accordingly.

(3) In the application of the foregoing provisions of this section to the Ascot Company nothing therein shall be deemed to prevent the application of the reserve fund referred to in section 37 (Reserve fund) of the Ascot District Gas and Electricity Act 1935 in or towards the increasing or payment as provided in that section of dividends for any half-year.

27. In section 35 (Annual ordinary meetings) of the Windsor Royal Gas Act 1922 which relates to the Windsor Company the words "such month as the directors may from time to time determine" shall be substituted for the words "the month of March." Amendment
of section 35
of Windsor
Royal Gas
Act 1922.
12 & 13
Geo. 5. c. lxxv.

PART VI.

RENEWAL FUND.

28. The provisions of this Part of this Act shall apply to the following companies each of whom is in this Part of this Act referred to as "the company" (namely):— Companies
to whom
Part VI
of Act
applies.

The Herne Bay Company;
The Mid-Kent Company; and
The Windsor Company.

Ch. xxxix. *South-Eastern Gas Corporation Limited (Associated Companies) Act, 1940.* 3 & 4 GEO. 6.

PART VI.
—cont.
Renewal
fund.

29.—(1) The directors of the company may if they think fit in any year appropriate money out of the revenue of the undertaking as part of the expenditure on revenue account to a fund to be called “the renewal fund” and the annual contributions to and the amount of that fund shall be limited in accordance with the provisions of section 5 of the Gas Undertakings Act 1934.

24 & 25
Geo. 5.
c. 28.

(2) The renewal fund shall be applicable only to meet expenses in respect of the undertaking requisite for the maintenance and renewal of plant and works (other than expenses incurred in the replacement or removal of plant or works) and shall be so applied from time to time for the purpose of equalising so far as may be the annual charge to revenue in respect of such expenses.

PART VII.

ADMINISTRATIVE AND OTHER PROVISIONS.

Companies
to whom
Part VII
of Act
applies.

30.—(1) (a) The provisions of the sections of this Part of this Act of which the marginal notes are respectively—

- “ Notices of meetings ”;
- “ Quorum for general meetings ”;
- “ Voting rights ”;
- “ Variation of number of directors Quorum ”;
- “ Auditors ”;
- “ Company not bound to regard trusts ”;
- “ Register of shareholders and shareholders’ address book ”;
- “ Closing of transfer books ”;
- “ Indemnity before issue of substituted certificates &c.”;
- “ Directors may determine remuneration of secretary ”; and
- “ Power to directors to grant pensions &c.”;

shall apply to the companies named in paragraph (b) of this subsection each of whom is in the said sections referred to as “the company”;

3 & 4 GEO. 6. *South-Eastern Gas* **Ch. xxxix.**
Corporation Limited (Associated Companies)
Act, 1940.

(b) The companies referred to in paragraph (a) of PART VII.
this subsection are the following:— —cont.

The Ascot Company;
The Broadstairs Company;
The Deal Company;
The Dover Company;
The Folkestone Company;
The Gravesend Company;
The Hastings Company;
The Hornsey Company;
The Lea Bridge Company;
The Lewes Company;
The Maidstone Company;
The Mid-Kent Company;
The North Middlesex Company;
The Rochester Company;
The Sheppy Company;
The Sittingbourne Company;
The Slough Company;
The Tunbridge Wells Company;
The Uxbridge Company; and
The Windsor Company.

(2) The provisions of the sections of this Part of this Act of which the marginal notes are respectively—

“ Amendment of section 6 of Gasworks Clauses Act 1871 ”;

“ Position of gas meter ”;

“ Relief from obligation to supply gas ”;

“ For prevention of improper use of gas ”;

“ Inspection and testing of gas meters ”;

“ Charges for special reading of gas meters ”;

“ Fittings let for hire not to be subject to distress &c.”; and

“ Notice to discontinue supply ”;

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

PART VII.
—cont.

shall apply to the companies named in paragraph (b) of subsection (1) of this section and also to the following companies—

The Chertsey Company;
The East Kent Company;
The Herne Bay Company; and
The Tenterden Company;

and each of the said companies is in the said sections referred to as “the company.”

(3) The provisions of the section of this Part of this Act of which the marginal note is “Application of money” shall apply to the companies respectively named in Parts II III and IV of this Act.

(4) The provisions of this Part of this Act shall have effect notwithstanding anything contained in the existing Acts and Orders of or relating to the company and in substitution for any provision in any such Act or Order dealing with any matter dealt with in this Part of this Act.

Notices of
meetings.

31. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 notice of all meetings of the company (whether ordinary or extraordinary) may (if the directors so determine) be given by letter sent by ordinary letter post to each shareholder instead of by public advertisement:

Provided that the letters giving the notice shall be directed according to the registered address or other known address of each shareholder and posted not later than seven clear days before the date of the meeting. In proving that any such notice has been given it shall be sufficient to prove that the letter containing the notice was properly addressed and posted as a prepaid letter not later than the time hereby prescribed.

Quorum
for
general
meetings.

32. The quorum for a general meeting of the company (whether ordinary or extraordinary) shall be five holders of shares or stock of the company entitled to vote at general meetings of the company present in person or by proxy and holding in the aggregate not less than one-twentieth of the issued capital of the company.

33.—(1) At all general meetings of the company (whether ordinary or extraordinary) every holder of ordinary shares or stock of the company and every holder of preference shares or stock to which voting rights are attached shall be entitled on a show of hands to one vote and on a poll to one vote in respect of each one pound in the nominal value of the shares or stock held by him. PART VII.
—cont.
Voting
rights.

(2) Except as otherwise expressly provided by the resolution creating the shares or stock no person shall be entitled to vote on a show of hands or a poll in respect of any shares or stock created after the passing of this Act to which a preferential dividend shall be assigned.

34.—(1) The company may vary the number of the directors but so that such number shall not be less than four nor more than eight. Provided that the directors shall not be required to fill up any vacancy if and so long as the number of the continuing directors is not less than four. Variation
of number
of directors
Quorum.

(2) The quorum of a meeting of the directors of the company shall be such number (not being less than two) as the directors may from time to time determine.

35.—(1) It shall be lawful for the company at any time by resolution passed at a general meeting to decide that the accounts of the company shall be audited by a single auditor or by a firm of accountants and notwithstanding anything in the Companies Clauses Consolidation Act 1845 it shall not be necessary for such auditor or the members of such firm to hold any share capital of the company. Auditors.

(2) No person not being a retiring auditor of the company shall be eligible to be elected at any general meeting of the company as auditor of the company unless notice be given to the secretary or left at the principal office of the company seven days at least before the date of the meeting that such person will be proposed for election as an auditor of the company. The secretary shall on receipt of any such notice send a copy thereof to the retiring auditor and during such seven days and the day of election keep a copy of the notice fixed in some conspicuous place in the said office.

PART VII.
—cont.

(3) If any auditor of the company dies or resigns the directors may appoint another auditor in his place and any auditor so appointed shall hold office until the next ordinary meeting of the company.

Company
not bound
to regard
trusts.

36. The company shall not be bound to see to the execution of any trust whether express implied or constructive to which any share capital or debenture stock of the company may be subject and the provisions of section 20 of the Companies Clauses Consolidation Act 1845 shall mutatis mutandis extend and apply to any share capital or debenture stock of the company as if such share capital or debenture stock were shares to which that section applies.

Register
of share-
holders
and share-
holders'
address
book.

37. Notwithstanding anything in the Companies Clauses Consolidation Act 1845, it shall not be obligatory upon the company—

(a) to keep separately a register of shareholders and a shareholders' address book if in lieu thereof the company keep one register only containing such particulars as are required by the said Act to be entered in the register of shareholders and the shareholders' address book respectively; or

(b) to authenticate by the affixing of their common seal or otherwise the register of shareholders or any register which the company may keep in lieu thereof under the powers of this section.

Closing of
transfer
books.

38.—(1) The directors may close the register of transfers for a period not exceeding fourteen days previous to the payment of any dividend on any share capital of the company and they may close the registers of transfers of mortgages and debenture stock for a period not exceeding fourteen days previous to each date at which the interest thereon shall be payable and the directors may in any such case fix a day for the closing of any register which they are authorised to close under the provisions of this section.

(2) Seven days' notice of the closing of any such register shall be given by advertisement in a newspaper

published and circulating in the limits of supply and any transfer of share capital mortgages or debenture stock made or lodged for registration during the time when the register of transfers of such share capital or security is so closed shall as between the company and the person claiming under the same but not otherwise be considered as made subsequently to the payment of any such dividend or of any such interest as the case may be.

PART VII.
—cont.

39. Notwithstanding anything in section 13 of the Companies Clauses Consolidation Act 1845 or in any Act or Order relating to the company the company shall not be under any obligation to issue a new debenture or mortgage bond or a new certificate of any shares or stock or debenture stock or a new warrant in respect of interest or dividend in lieu of any debenture bond certificate or warrant lost or destroyed or alleged to be lost or destroyed until they have received from the person to whom such new debenture bond certificate or warrant is to be issued such indemnity as the directors may require against any and every claim or expense which may be made against the company or which the company may incur in respect of such lost or destroyed debenture bond certificate or warrant or the debenture mortgage share stock debenture stock dividend or interest represented thereby.

Indemnity before issue of substituted certificates &c.

40. In addition to the powers which the directors may exercise under the Companies Clauses Acts 1845 to 1889 they may determine the remuneration of the secretary.

Directors may determine remuneration of secretary.

41.—(1) The directors of the company may grant such gratuities pensions and superannuation allowances or make such other payments as they may think fit to any employee or where in any particular case no adequate provision is in their opinion otherwise made to the widow or family or any dependant of an employee.

Power to directors to grant pensions &c.

(2) The directors of the company may enter into and carry into effect agreements with any insurance company or other association or company for securing to any such employee widow family or dependant as

PART VII.
—cont. —

aforesaid such gratuities pensions allowances or payments as are by this section authorised to be granted or made.

(3) The directors of the company may subscribe or make donations to any fund raised in case of national emergency and to infirmaries hospitals convalescent homes and other institutions and objects and to the benevolent and sick funds of the employees of the company.

(4) The directors of the company may apply the revenues of the company for the purposes of this section.

Amendment
of section 6 of
Gasworks
Clauses Act
1871.
34 & 35 Vict.
c. 41.

42. Section 6 of the Gasworks Clauses Act 1871 in its application to the company shall be read and have effect as if the words "shall not apply" were substituted in that section for the words "shall apply."

Position of
gas meter.

43. Every gas meter to be used in a new building or a building not previously supplied with gas or in connection with a new or substituted pipe laid between the main and the meter shall be placed in such position as may be reasonably approved by the company and when any such meter has been placed the person placing the same shall give notice thereof to the company and thereupon any officer of the company duly appointed may between nine o'clock in the morning and five o'clock in the afternoon attend for the purpose of inspecting such meter and building and if the officer is not permitted to make the inspection or if the meter is not placed as required by this section the company may refuse to supply gas to the premises until the provisions of this section have been complied with.

Relief from
obligation
to supply
gas.

44.—(1) Unless at the date of the demand for any such new or increased supply of gas as is hereinafter referred to the capacity of the distribution works of the company is in the opinion of an arbitrator appointed as hereinafter provided insufficient to meet (with a reasonable margin) the requirements (as existing immediately before that date) of the consumers in the portion of the area of supply of the company for which such works have been provided (so far as such requirements could

3 & 4 GEO. 6. *South-Eastern Gas Corporation Limited (Associated Companies)* **Ch. xxxix.**
Act, 1940.

reasonably have been foreseen) the company notwithstanding anything in any other enactment shall not be obliged to give for any purpose other than lighting or domestic use—

PART VII.
—cont.

- (a) a new supply of gas for the premises of any person demanding such supply at any time after the passing of this Act; or
- (b) an increased supply of gas (other than an increased supply necessitated by any reduction of the declared calorific value);

where the giving of such new or increased supply would render necessary the laying of a new main or the making (as an alternative to the laying of a new main) of any enlargement or alteration of or addition to the distribution works of the company.

(2) The foregoing provisions of this section shall not apply in any case in which the person demanding the new or increased supply (in this section referred to as "the applicant" shall enter into a written contract with the company—

- (a) to receive and pay for a supply of gas of such minimum quantity and for such minimum period as the company may reasonably require; or
- (b) to make such payment to the company (in addition to any payments to be made from time to time for gas supplied to the applicant) as the company may reasonably require;

(according as the company may in their discretion determine) in consideration, of or by way of contribution towards the expenses to be incurred by the company in laying such new main or making such enlargement alteration or addition as aforesaid and shall give such security for the payment of all moneys which may become due under the contract as the company may reasonably demand.

(3) If any question shall arise under the provisions of this section between the company and the applicant as to the sufficiency of the distribution works of the company or as to whether such new or increased supply would necessitate the laying of a new main or the making of any such enlargement alteration or addition

PART VII.
—cont.

as aforesaid or as to the reasonableness of the minimum quantity or period or of the payments (in addition to payments for gas supplied) required by the company or as to the nature or amount of the security demanded by the company such question shall be referred to and determined by an arbitrator to be appointed (failing agreement between the company and the applicant) by the Board of Trade on the application of either party after notice in writing to the other of them and the decision of such arbitrator shall be final and binding.

(4) In determining any such question as aforesaid the arbitrator shall have regard to the following among other considerations (that is to say):—

- (a) The total annual quantity of gas required by the applicant the maximum quantity required per hour and the hours of the day during which the company may be called upon to supply gas to the applicant;
- (b) The capital expenditure which the company would have to incur in the laying of a new main or the making of any enlargement or alteration of or addition to their distribution works as aforesaid in connection with the giving of such new or increased supply; and
- (c) How far such capital expenditure may become unproductive to the company in the event of the cesser of the new or increased supply.

(5) Subject as aforesaid the provisions of the Arbitration Acts 1889 to 1934 shall apply to any arbitration under this section.

For pre-
vention of
improper
use of gas.

45. If any person supplied with gas by the company improperly uses or deals with the same so as to interfere with the efficient supply of gas by the company to any consumer the company may if they think fit cease to supply gas to such person.

Inspection
and testing
of gas
meters.

46.—(1) The company's inspectors or servants shall at all reasonable times have access to and be at liberty to inspect take off remove test repair and replace gas meters which are the property of the company and meanwhile to fix a substituted meter on the premises

PART VII.
 —*cont.*

10 & 11
Geo. 5.
c. 28.

Charges for special reading of gas meters.

Fittings let
for hire
not to be
subject to
distress &c.

1 & 2
Geo. 6.
c. 53.

Notice to
discontinue
supply.

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

PART VII.
—cont.
Application of
money.

50. All money raised under this Act including premiums shall be applied only to purposes to which capital is properly applicable and any sum of money which may arise by way of premium from the issue of share capital shall not be considered as part of the capital entitled to dividend of the company by whom such share capital was issued.

PART VIII.

GENERAL PROVISIONS.

Repeal of
enact-
ments.

51. The Acts mentioned in the first and second columns of Part I of the schedule to this Act and the Orders mentioned in the first column of Part II of the said schedule are hereby repealed to the extent mentioned in the third column of the said Part I and the second column of the said Part II respectively.

Saving for
emergency
powers of
Treasury.

52.—(1) So long as this section continues in force it shall not be lawful without the consent of the Treasury to exercise the powers of borrowing or raising capital conferred by this Act.

54 & 55
Vict. c. 39.

(2) Section 113 of the Stamp Act 1891 (which in the case of any increase in the amount of nominal share capital of a company being authorised by any Act charges stamp duty on a statement of the amount of such increase to be delivered within one month from the passing of the Act) shall as amended by any subsequent enactment have effect as respects any share capital authorised to be raised by this Act as if this Act had been passed on the date when such consent as aforesaid is given as respects that capital or on the date when this section expires whichever first occurs.

2 & 3
Geo. 6.
c. 62.

(3) This section shall continue in force so long as the making of an issue of capital in the United Kingdom without the consent of the Treasury is prohibited by regulations made under the Emergency Powers (Defence) Act 1939.

Costs of
Act.

53.—(1) The costs charges and expenses preliminary to and of and incidental to the preparing applying for obtaining and passing of this Act or otherwise in relation thereto shall be paid in the first instance by the Corporation.

3 & 4 GEO. 6. *South-Eastern Gas* **Ch. xxxix.**
Corporation Limited (Associated Companies)
Act, 1940.

(2) The Corporation may apportion among and recover from the companies referred to in this Act in such proportions as the Corporation may determine, the amount of the costs charges and expenses so paid by the Corporation as aforesaid and the amount so apportioned to each of the said companies may be debited to the profit and loss (net revenue) account of that company.

PART VIII.
—cont.

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

The SCHEDULE referred to in the
foregoing Act.

ENACTMENTS REPEALED.

PART I—ACTS.

Session and chapter.	Short title.	Extent of repeal.
29 & 30 Vict. c. lxxv.	The Slough Gas Act 1866.	Section 28 (Power to create debenture stock).
30 & 31 Vict. c. ii.	The Windsor Royal Gas Act 1867.	Section 28 (Power to create debenture stock).
34 & 35 Vict. c. lxxx.	The Sheppy Gas Act 1871.	Section 36 (Debenture stock).
40 & 41 Vict. c. xxxii.	The Sittingbourne District Gas Act 1877.	Section 18 (Power to create debenture stock).
41 & 42 Vict. c. xlviii.	The Lewes Gas Act 1878.	Section 33 (Appointment of receiver). Section 35 (Debenture stock). Section 39 (First ordinary meeting).
53 & 54 Vict. c. xxix.	The Gravesend Gas Act 1890.	Section 21 (For appointment of a receiver).
1 Edw. 7. c. iv.	The Gravesend Gas Act 1901.	Section 12 (Appointment of a receiver). Section 19 (Power to create debenture stock).
2 Edw. 7. c. xxviii.	The Deal and Walmer Gas Act 1902.	Section 14 (Debenture stock).
3 Edw. 7. c. xxiii.	The Sittingbourne District Gas Act 1903.	Section 15 (For appointment of receiver). Section 16 (Power to create debenture stock).
4 Edw. 7. c. xxxii.	The Sheppy Gas Act 1904.	Section 20 (Appointment of receiver). Section 21 (Debenture stock).

3 & 4 GEO. 6. *South-Eastern Gas* **Ch. xxxix.**
Corporation Limited (Associated Companies)
Act, 1940.

Session and chapter.	Short title.	Extent of repeal.
3 & 4 Geo. 5. c. xviii.	The Slough Gas Act 1913.	Section 24 (Debenture stock). Section 26 (For appointment of receiver).
4 & 5 Geo. 5. c. lxxxiii.	The Deal and Walmer Gas and Electricity Act 1914.	Section 54 (Appointment of receiver). Section 55 (Debenture stock).
12 & 13 Geo. 5. c. lxxv.	The Windsor Royal Gas Act 1922.	Section 19 (Debenture stock). Section 23 (Arrears may be enforced by appointment of a receiver).
25 & 26 Geo. 5. c. xcvi.	The Ascot District Gas and Electricity Act 1935.	Section 36 (Half-yearly dividends).

PART II—ORDERS.

Title.	Extent of repeal.
The Slough Gas Order 1901.	Section 17 (Power to create debenture stock).
The Tenterden and District Gas Order 1908.	Section 11 (Limit of borrowing powers).
The Chertsey Gas Order 1924.	Section 10 (Limit of borrowing powers).
The Slough Gas Order 1925.	Section 9 (Debenture stock).
The Herne Bay Gas Order 1926.	Section 5 (Limit of borrowing powers).
The Deal and Walmer Gas Order 1927.	Section 8 (Debenture stock). Section 9 (Appointment of receiver).

Ch. xxxix. *South-Eastern Gas* 3 & 4 GEO. 6.
Corporation Limited (Associated Companies)
Act, 1940.

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